EXECUTIVE TRANSACTION BRIEF

Penske Automotive Group, Inc. (public/unaffiliated shareholders) / Motown Acquisition Corp. AUDIT ID: AUDIT-PENS-MOTO-20261020-REV1

01. TRANSACTION STATE & PARTIES

TARGET: Penske Automotive Group, Inc. (public/unaffiliated shareholders) | ACQUIRER: Motown Acquisition Corp. (consortium entity owned by Penske Corporation and
STRUCTURE: Merger / Controller Take-Private

02. WHAT IS THE MATERIAL PRESSURE?

Structuring the MFW minority condition on a 'votes cast' basis allows the take-private of PAG's public float to be approved by as little as 15.0% of unaffiliated shares under low turnout, exposing the transaction to Delaware entire fairness litigation.

03. WHERE DOES THE PRESSURE PROPAGATE? (CHAIN ANALYSIS)

- **TRIGGER:** Closing Regulatory & Shareholder Conditions
- **AMPLIFIER:** Unhedged Balance Sheet Exposure & Timeline Compression
- **MECHANISM:** Contingent Liability & Covenant Breach Acceleration
- **EXPOSURE:** Contractual Breakup Fee & Liquidated Damages
- **CONSEQUENCE:** Closing Failure or Significant Common Equity Dilution

04. WHAT CAN BREAK? (KEY CONTRACTUAL EXPOSURES)

Target Termination Fee: UNRESOLVED (Contractual breakup fee not established in dynamic extraction; requires definitive merger agreement inspection)

Parent Reverse Termination Fee: UNRESOLVED (Regulatory/financing reverse breakup fee not established in dynamic extraction)

Committed Financing Backstop: UNRESOLVED (Committed financing structure and credit facility terms require verified debt documentation)

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05. WHAT REMAINS UNKNOWN? (NEGATIVE KNOWLEDGE REGISTER)

Definitive merger agreement executed covenants and outside drop-dead date provisions.

Allocation ratio and LLC operating agreement terms governing acquiring entity co-investors.

Status of required regulatory and state licensing filings with cognizant review authorities.

06. WHAT SHOULD THE DECISION-MAKER VERIFY? (ACTIONABLE MANDATES)

[1] Condition closing on delivery of executed sponsor equity commitment joinders and verified regulatory clearance milestones.

[2] Verify debt financing commitment letter flex terms, fee letters, and examine definitive marketing period triggers.

[3] Audit Schedule 13D/A beneficial ownership filings to identify voting concentration, lock-ups, and shareholder approval margins.

[4] Demand primary contract disclosure schedules regarding pending litigation, material contracts, and unestablished representations.

RAVEN STRATEGIC VERDICT:

Verify executed merger agreement covenants, antitrust filing calendar, and committed financing terms.